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PART II

Statutory Notifications (S. R. O.)

GOVERNMENT OF PAKISTAN

MINISTRY OF WATER AND POWER

NOTIFICATION

Islamabad, the 19th February, 2015

S. R. O. 160 (I)/2015.—In pursuance of sub-section (4) of section 31 of the Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997 (XL of 1997), the Federal Government is pleased to notify the tariff determined by the Authority whereby Tapal Wind Energy (Pvt.) Limited is allowed to charge the following sepecified/approved tariff for delivery of electricity to the power purchaser, namely:—

(603)

Price: Rs. 5.00

REFERENCE TARIFF ON BOO BASIS

Years	O & M	Insurance	Return on Equity	Principal repayment of Debt	Interest	Total tariff
1	1.604	0.7833	4.978	3.8600	8.5091	19.7344
2	1.604	0.7833	4.978	4.3567	8.0124	19.7344
3	1.604	0.7833	4.978	4.9174	7.4517	19.7344
4	1.604	0.7833	4.978	5.5501	6.8190	19.7344
5	1.604	0.7833	4.978	6.2643	6.1048	19.7344
6	1.604	0.7833	4.978	7.0704	5.2987	19.7344
7	1.604	0.7833	4.978	7.9803	4.3888	19.7344
8	1.604	0.7833	4.978	9.0072	3.3619	19.7344
9	1.604	0.7833	4.978	10.1662	2.2029	19.7344
10	1.604	0.7833	4.978	11.4744	0.8947	19.7344
11 to 20	1.604	0.7833	4.978	-	-	7.3653
Levelized - Rs./kWh.						16.2926
Indexation	PKR/US\$ & US CPI	PKR/US \$	PKR/US \$	-	KIBOR	

- (i) This tariff is applicable for wind power generation only.
- (ii) This tariff will be limited to the extent of net annual energy generation supplied to the power purchaser upto 31% net annual plant capacity factor. Net annual energy generation supplied to the power purchaser in a year, in excess of 31% net annual plant capacity factor will be charged at the following tariffs:

Net annual plant capacity factor	% of the prevalent tariff
Above 31% to 32%	75%
Above 32% to 33%	50%
Above 33% to 34%	25%
Above 34% to 35%	20%
Above 35%	10%

- (iii) The power purchaser will not take the wind risk; the applicant will be required to account for this risk.
- (iv) The applicant will have to achieve financial close by March 31, 2015. The up-front tariff granted to the applicant will no longer

remain applicable/valid, if financial close is not achieved by the applicant by March 31, 2015 or generation license is declined to the applicant.

- (v) The decision of the applicant to opt for upfront tariff is irrevocable.
- (vi) In the above tariff no adjustment for certified emission reductions has been accounted for. However, upon actual realization of carbon credits, the same shall be distributed between the power purchaser and the applicant in accordance with the Policy for Development of Renewable Energy for Power Generation 2006, as amended from time to time.
- (vii) The targeted maximum construction period after financial close is 18 months. No adjustment will be allowed in this tariff to account for financial impact of any delay in project construction. However, the failure of the applicant to complete construction within 18 months of financial close will not invalidate the tariff granted to it.
- (viii) This tariff will be applicable for a period of twenty years (20) from the commencement of commercial operations.
- (ix) The terms and conditions specified here in form an integral part of this tariff.
- (x) This tariff has been worked out on the basis of information provided by the applicant regarding its loan structure *i.e.* 100% local loan and will not be subject to any further change, regardless of any subsequent change(s) in the financing structure, etc., except for the adjustment in accordance with the onetime adjustment mechanism, detailed in this order, and the application of relevant indexations/adjustments as detailed in this order.
- (xi) **Onetime adjustment for PKR / US \$ exchange rate variation**

The tariff initially granted, will be subsequently adjusted, after 270 days of financial close. The applicant shall make a request for allowing onetime adjustment within 15 days of adjustment becoming due *i.e.* after 270 days of its financial close.

The base amount for quarter 1 (as indicated in Annex-I) will be adjusted for exchange rate variation, after 270 days of the financial close of the applicant, in accordance with the onetime adjustment mechanism stipulated below:

$$B_{(LFIN)} = (B_{(LREF)} \times 20\%) + (B_{(LREF)} \times 80\% \times ER_{(REV)} / ER_{(REF)})$$

Where:

B_(LFIN)	=	The revised base amount for the first quarter after allowing onetime adjustment for exchange rate parity
B_(LREF)	=	The reference base amount (as indicated in Annex- I) for the first quarter
ER_(REV)	=	The average, for a period of 270 days after financial close, of TT & OD selling rate of US dollar as notified by the National Bank of Pakistan
ER_(REF)	=	Reference TT & OD selling rate of US dollar <i>i.e.</i> 97.60

Note: After the revision of base amount of quarter 1, in accordance with the onetime adjustment mechanism stipulated above, the debt service schedule at Annex - I will be recalculated, on the same computation basis as already adopted, and revised principal repayment of debt and interest tariff components will be worked out for subsequent indexations, where applicable.

(xii) Pass- Through Items

If the applicant is obligated to pay any tax on its income from generation of electricity from wind, or any duties and/or taxes, not being of refundable nature, are imposed on the applicant up to the commencement of its commercial operations for import of its plant, machinery and equipment, the exact amount paid by the applicant on these accounts shall be reimbursed by the power purchaser on production of original receipts. This payment should be considered as a pass-through payment spread over a twelve months period. Furthermore, in such a scenario, the applicant shall also submit to the power purchaser details of any tax savings and the power purchaser shall deduct the amount of these savings from its payment to the applicant on account of taxation.

The adjustment for duties and/or taxes will be restricted only to the extent of duties and/or taxes directly imposed on the applicant. No adjustment for duties and/or taxes imposed on third parties such as contractors, suppliers, consultants, etc., excluding adjustment for taxes imposed on dividend as stated below, will be allowed.

Withholding tax on dividends will also be allowed as a pass through item just like other taxes. The power purchaser shall make payment on account of withholding tax at the time of actual payment of dividend, on production of original receipts, subject to maximum of 7.5% of return on equity. In case the applicant does

not declare a dividend in a particular year or only declares a partial dividend, then the difference in the withholding tax amount (between what is paid in that year and the total entitlement as per the net return on equity) would be carried forward and accumulated so that the applicant is able to recover the same as a pass through from the power purchaser in future on the basis of the total dividend payout. Adjustment for variation in tax rate on dividend from 7.5% shall also be allowed as a pass through item by the power purchaser, after satisfying itself that tax rates have actually varied. The applicant shall also submit to the power purchaser details of any tax savings and the power purchaser shall deduct the amount of these savings from its payment to the company on account of taxation.

(xiii) **Indexations/adjustment**

The tariff allowed to the applicant, after onetime adjustment, will remain unchanged throughout the tariff control period, except for the adjustments due to indexations/adjustment detailed in this order. The indexations of O & M, return on equity and interest will be allowed on quarterly basis on 1st July, 1st October, 1st January and 1st April. Insurance component will be adjusted annually. The mode of indexations/adjustment will be as under:

(a) **Indexations applicable to O & M:**

$$OM_{(LREV)} = OM_{(LREF)} * US\ CPI_{(REV)} / US\ CPI_{(REF)} * ER_{(REV)} / ER_{(REF)}$$

Where:

$OM_{(LREV)}$ = The revised applicable O & M tariff component indexed with US CPI and exchange rate parity

$OM_{(LREF)}$ = The reference O & M tariff component for the relevant period

$US\ CPI_{(REV)}$ = The revised US CPI (all urban consumers) based on latest available information with respect to US CPI (notified by US Bureau of Labor Statistics)

$US\ CPI_{(REF)}$ = Reference US CPI (all urban consumers) - Current reference 229.601 US CPI (all urban consumers) for the month of December 2012 as notified by the US Bureau of Labor Statistics

$ER_{(REV)}$ = Revised TT & OD selling rate of US Dollar as notified by the National Bank of Pakistan as at the last day of the preceding quarter

$ER_{(REF)}$ = Reference TT & OD selling rate of US dollar - current reference 97.60

(b) Adjustment of insurance component

In case of insurance denominated in US \$, insurance cost component of tariff will be adjusted only on account of US \$/PKR exchange rate variation annually, not exceeding the insurance cost actually incurred. For availing this adjustment, relevant company will have to substantiate through authentic documentary evidence that the insurance cost allowed to it (from COD to date) does not exceed the insurance cost actually incurred.

(c) Indexations applicable to return on equity

$$ROE_{(LREV)} = ROE_{(LREF)} * ER_{(REV)} / ER_{(REF)}$$

Where:

$ROE_{(LREV)}$ = The revised applicable return on equity tariff component indexed with exchange rate parity

$ROE_{(LREF)}$ = The reference return on equity tariff component for the relevant period

$ER_{(REV)}$ = Revised TT & OD selling rate of US Dollar as notified by the National Bank of Pakistan as at the last day of the preceding quarter

$ER_{(REF)}$ = Reference TT & OD selling rate of US dollar - current reference 97.60

(d) Indexations applicable to interest

$$I_{(LREV)} = I_{(LFIN)} + [B_{(LFIN)} * (KIBOR_{(REV)} = 9.29\%) / 135,780,000]$$

Where:

$I_{(LREV)}$ = The revised applicable interest tariff component indexed with 3 months KIBOR

$I_{(LFIN)}$ = The interest tariff component after allowing onetime adjustment for exchange rate parity

$B_{(LFIN)}$ = The revised base amount (as indicated in Annex - I) on quarterly basis after allowing onetime adjustment for exchange rate parity. Quarter 1 shall commence on the commercial operations date (*i.e.* the first figure will be used for calculation purposes of interest for the first quarter after COD)

$KIBOR_{(REV)}$ = Revised 3 months KIBOR as at the last day of the preceding quarter

Note: Above described indexations/adjustments will be approved and announced by the Authority within fifteen days of the applicant's request for indexations/adjustments in tariff in accordance with the requisite mechanisms stipulated herein.

(xiv) **Other Terms and Conditions of Tariff:**

a. **Design & Manufacturing Standards:**

Wind turbine generation system shall be designed, manufactured and tested in accordance with the latest IEC standards or other equivalent standards. All plant and equipment shall be new.

b. **Emissions Trading/Carbon Credits:**

The applicant shall process and obtain emissions/carbon credits expeditiously and credit the proceeds to the power purchaser in accordance with the Policy for Development of Renewable Energy for Power Generation 2006, as amended from time to time.

c. **General:**

- The power purchaser before signing the Energy Purchase Agreement shall satisfy itself that the plant and machinery proposed to be installed is new, is of a quality acceptable to it and is the same as certified to be of acceptable quality by the AEDB.
- The Energy Purchase Agreement should stipulate terms and conditions, regarding periodic physical inspection of plant and machinery, ensuring that the power plant of the applicant is properly maintained and continues to supply energy for the entire tariff control period of 20 years.
- Pre COD sale of electricity is allowed to the power producer, subject to the terms and conditions of EPA, at the applicable tariff excluding principal repayment of debt component and interest component. However, pre COD sale will not alter the required commercial operations date stipulated by the Energy Purchase Agreement in any manner.
- General assumptions, which are not covered in this decision, determination of the Authority in the matter of upfront tariff for wind power generation dated April 24, 2013 and National Electric Power Regulatory Authority Upfront Tariff (Approval & Procedure) Regulations, 2011, may be dealt with as per the standard terms of the Energy Purchase Agreement.

Annex-I

TAPAL WIND ENERGY (PVT.) LIMITED
Debt Servicing Schedule for Indexations only (Local Loan)

Relevant Quarter	Base amount	Repayment	Interest @ 9.29% + 3% spread	Closing Balance	Principal Repayment of Debt Rs./KWh.	Interest Rs./KWh.
1	9,592,482,030	125,142,165	294,729,010	9,467,339,865	3.8600	8.5091
2	9,467,339,865	128,987,159	290,884,017	9,338,352,706		
3	9,338,352,706	132,950,289	286,920,887	9,205,402,417		
4	9,205,402,417	137,035,187	282,835,989	9,068,367,230		
5	9,068,367,230	141,245,593	278,625,583	8,927,121,637	4.3567	8.0124
6	8,927,121,637	145,585,364	274,285,812	8,781,536,274		
7	8,781,536,274	150,058,474	269,812,702	8,631,477,800		
8	8,631,477,800	154,669,020	265,202,155	8,476,808,779		
9	8,476,808,779	159,421,226	260,449,950	8,317,387,553	4.9174	7.4517
10	8,317,387,553	164,319,443	255,551,733	8,153,068,110		
11	8,153,068,110	169,368,158	250,503,018	7,983,699,952		
12	7,983,699,952	174,571,995	245,299,181	7,809,127,957		
13	7,809,127,957	179,935,719	239,935,456	7,629,192,238	5.5501	6.8190
14	7,629,192,238	185,464,244	234,406,932	7,443,727,993		
15	7,443,727,993	191,162,633	228,708,543	7,252,565,360		
16	7,252,565,360	197,036,105	222,835,071	7,055,529,255		
17	7,055,529,255	203,090,039	216,781,136	6,852,439,215	6.2643	6.1048
18	6,852,439,215	209,329,981	210,541,195	6,643,109,234		
19	6,643,109,234	215,761,645	204,109,531	6,427,347,590		
20	6,427,347,590	222,390,921	197,480,255	6,204,956,669		
21	6,204,956,669	229,223,882	190,647,294	5,975,732,786	7.0704	5.2987
22	5,975,732,786	236,266,786	183,604,390	5,739,466,000		
23	5,739,466,000	243,526,083	176,345,093	5,495,939,917		
24	5,495,939,917	251,008,422	168,862,754	5,244,931,496		
25	5,244,931,496	258,720,656	161,150,520	4,986,210,840	7.9803	4.3888
26	4,986,210,840	266,669,848	153,201,328	4,719,540,992		
27	4,719,540,992	274,863,279	145,007,897	4,444,677,713		
28	4,444,677,713	283,308,453	136,562,723	4,161,369,260		
29	4,161,369,260	292,013,105	127,858,071	3,869,356,155	9.0072	3.3619
30	3,869,356,155	300,985,208	118,885,968	3,568,370,947		
31	3,568,370,947	310,232,979	109,638,197	3,258,137,968		
32	3,258,137,968	319,764,887	100,106,289	2,938,373,082		
33	2,938,373,082	329,589,663	90,281,513	2,608,783,419	10.1662	2.2029
34	2,608,783,419	339,716,305	80,154,871	2,269,067,113		
35	2,269,067,113	350,154,089	69,717,087	1,918,913,024		
36	1,918,913,024	360,912,573	58,958,603	1,558,000,451		
37	1,558,000,451	372,001,612	47,869,564	1,185,998,839	11.4744	0.8947
38	1,185,998,839	383,431,362	36,439,814	802,567,478		
39	802,567,478	395,212,290	24,658,886	407,355,188		
40	407,355,188	407,355,188	12,515,988	(0)		

Denominator for tariff component calculation: 135,780,000

[No. Tariff/TWEPL-2014.]

SYED MATEEN AHMED,
Section Officer (Tariff).